



TATVA
TREND

GENERAL ACCOUNTING PRINCIPLES BY TATVA TREND

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Chapter 1: Introduction to Accounting

1.1 Meaning of Accounting

Accounting is the process of **recording, classifying, summarising and interpreting financial information** to help users make informed decisions. It consists of two important parts:

1. **Book-keeping** – systematic recording of business transactions.
2. **Analysis** – summarising, interpreting and presenting the recorded data.

Accounting provides information about:

- **Resources available** to a business.
- **How those resources are utilised.**
- **Results achieved** from their use.

According to the American Institute of Certified Public Accountants (AICPA):
“Accounting is the art of recording, classifying, summarising, in a significant manner and in terms of money, transactions and events which are in part, at least, of a financial character, and interpreting the results thereof.”

1.2 Characteristics of Accounting

The essential features of accounting are:

- **Identification** of financial transactions and events.
 - **Measurement** of transactions in monetary terms.
 - **Recording** of transactions in books of accounts.
 - **Classifying** transactions under proper heads.
 - **Summarising** results in financial statements.
 - **Analysis and Interpretation** of financial data.
 - **Communication** of information to users.
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1.3 Functions of Accounting

Accounting performs the following functions:

1. **Maintaining Systematic Records** – records all financial transactions in a structured manner.

2. **Preparation of Financial Statements** – Trading A/c, Profit & Loss A/c, and Balance Sheet.
 3. **Meeting Legal Requirements** – compliance with company law, tax laws, etc.
 4. **Communicating Financial Information** – provides relevant information to investors, creditors, government, etc.
 5. **Assisting Management** – helps in planning, controlling, and decision-making.
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1.4 Users of Accounting Information

(A) External Users

1. **Investors** – want to know profitability and financial health before investing.
2. **Creditors & Lenders** – check liquidity and repayment ability before granting loans.
3. **Government** – uses accounting data for taxation and national statistics.
4. **Consumers** – check whether they are charged reasonable prices.

(B) Internal Users

1. **Owners** – assess whether their funds are used effectively.
 2. **Management** – uses accounting for planning, budgeting, and control.
 3. **Employees** – interested in profits for wages/bonus and job security.
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1.5 Limitations of Accounting

While accounting is useful, it also has limitations:

1. **Not fully exact** – involves estimates and personal judgments.
 2. **Ignores qualitative factors** – employee skills, goodwill, brand image, etc. are not recorded.
 3. **Affected by price level changes** – ignores inflation/deflation impact.
 4. **Possibility of window dressing** – manipulation of accounts to present better results.
 5. **Historical in nature** – based on past data, not always suitable for future planning.
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Summary:

Accounting is the language of business that records financial transactions, prepares reports, and provides information for decision-making. It has several functions and is useful to both internal and external users, but it also has certain limitations like ignoring qualitative aspects and being historical in nature.

Chapter 2: Branches and Systems of Accounting

2.1 Branches of Accounting

Over time, accounting has developed into various specialised branches to meet the needs of different users:

(A) Financial Accounting

- Concerned with **recording, classifying and summarising business transactions**.
 - Prepares **Profit & Loss Account** and **Balance Sheet**.
 - Provides information to **external users** like investors, creditors, government, etc.
 - Focuses on the **overall performance and financial position** of the enterprise.
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(B) Cost Accounting

- Concerned with the **ascertainment and control of costs**.
 - Helps in determining the **cost per unit of product or service**.
 - Provides data for **fixing prices, reducing wastage and increasing efficiency**.
 - Useful mainly to **internal management** for decision-making.
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(C) Management Accounting

- Provides **relevant information** to managers for planning, decision-making and control.
 - Uses data from **financial and cost accounting**.
 - Includes techniques like **budgeting, ratio analysis, standard costing, cash flow analysis, etc.**
 - Main objective is to **help management in maximising profits and utilising resources effectively**.
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2.2 Systems of Accounting

There are two primary systems of accounting used in practice:

(A) Double Entry System

- Developed by **Luca Pacioli (1494)**.
- Every transaction has **two aspects**:
 - Debit (Dr.) – Receiving aspect
 - Credit (Cr.) – Giving aspect
- Ensures **complete record** of transactions.
- Basis of **modern accounting** and preparation of **Trial Balance, P&L A/c, Balance Sheet**.
- Example:
 - Bought goods for cash ₹10,000
 - Debit: Purchases A/c ₹10,000
 - Credit: Cash A/c ₹10,000

(B) Single Entry System

- **Incomplete system** of accounting.
- Only **one aspect** of transaction is recorded (usually cash).
- Does not maintain proper double entry.
- Suitable for **small businesses** where transactions are few.
- Cannot prepare reliable financial statements, hence not widely used.

2.3 Comparison between Double Entry and Single Entry:

Basis	Double Entry System	Single Entry System
Nature	Scientific, systematic	Unscientific, incomplete
Aspects Recorded	Both debit & credit	Only one aspect
Reliability	Highly reliable	Less reliable
Preparation of Accounts	Full accounts (Trading, P&L, Balance Sheet)	Limited accounts only
Usefulness	For large businesses	For small businesses

Summary :

Accounting can be divided into three major branches: **Financial Accounting, Cost Accounting, and Management Accounting**. The main systems of accounting are **Double Entry (complete and scientific)** and **Single Entry (incomplete and less reliable)**.

Chapter 3: Basic Accounting Terms

3.1 Account

- An **account** is a record of all transactions relating to a particular person, asset, liability, expense, or income.
 - It shows **both the amount and the effect (increase or decrease)** of transactions.
 - Example: Cash Account, Furniture Account, Rent Account.
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3.2 Capital

- The **amount invested by the owner** in a business.
 - It may be in the form of **cash, goods, or other assets**.
 - Represents the **owner's interest in the business**.
 - Formula:
Capital = Assets – Liabilities
-

3.3 Drawings

- The amount of **cash, goods, or assets withdrawn by the owner** from the business for personal use.
 - It reduces both **capital and business resources**.
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3.4 Liabilities

- Liabilities are the **obligations or debts** that a business owes to outsiders, payable in the future.

Types of Liabilities:

1. **Internal Liabilities** – Owed to the owners (e.g., Capital).
2. **External Liabilities** – Owed to outsiders (e.g., Creditors, Bank Loan).
3. **Long-term Liabilities** – Payable after 1 year (e.g., Debentures, Long-term Loans).
4. **Short-term Liabilities** – Payable within 1 year (e.g., Creditors, Bills Payable).

3.5 Assets

- Assets are the **resources owned by a business** having future economic benefits.

Types of Assets:

1. **Non-current (Fixed) Assets** – Long-term use, not meant for resale (e.g., Land, Buildings, Machinery).
 2. **Current Assets** – Short-term, convertible into cash within a year (e.g., Cash, Debtors, Stock).
 3. **Tangible Assets** – Physical existence (e.g., Furniture, Plant).
 4. **Intangible Assets** – No physical existence (e.g., Goodwill, Patents, Trademarks).
-

3.6 Receipts

- **Money received** by the business.

Types:

1. **Revenue Receipts** – Received in the normal course of business (e.g., Sale of Goods, Service Income).
 2. **Capital Receipts** – Received from transactions not related to regular business operations (e.g., Sale of Machinery, Loan Taken).
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3.7 Expenditure & Expenses

- **Expenditure:** Spending money to acquire assets or benefits (e.g., buying machinery, building).
- **Expenses:** Costs incurred to earn revenue (e.g., Salaries, Rent, Electricity).

Types of Expenses:

- **Prepaid Expense** – Paid in advance, benefit will be received in future (e.g., Advance Rent).
- **Outstanding Expense** – Incurred but not yet paid (e.g., Unpaid Salary).

3.8 Income, Profit & Revenue

- **Revenue** – Money earned from business activities (e.g., sales, services).
 - **Income** – Profit earned during a period (Revenue – Expenses).
 - **Profit** – Excess of income over expenses from operations.
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3.9 Trade Receivables

- Amount receivable from customers for goods sold or services provided on credit.
 - Includes: **Debtors + Bills Receivable**.
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3.10 Trade Payables

- Amount payable to suppliers for goods/services purchased on credit.
 - Includes: **Creditors + Bills Payable**.
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3.11 Other Important Terms

- **Stock/Inventory** – Goods held for resale or for use in production.
 - **Purchases** – Goods bought for resale or production.
 - **Sales** – Goods sold to customers (Cash Sales or Credit Sales).
 - **Discount** – Reduction in price (Trade Discount, Cash Discount).
 - **Bad Debts** – Amount receivable from debtors that becomes irrecoverable.
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Summary:

This chapter introduced **key accounting terms** such as Capital, Liabilities, Assets, Receipts, Expenditure, Expenses, Revenue, Income, Profit, Trade Receivables, and Payables. These terms form the **basic language of accounting** and are essential for understanding all future chapters.

Chapter 4: Accounting Principles & Assumptions (GAAP)

4.1 Meaning of Accounting Principles

- **Accounting Principles** are the fundamental rules, concepts, and conventions that guide how accounting should be done.
- They ensure **uniformity, consistency, comparability, and reliability** in financial statements.
- These principles are commonly known as **Generally Accepted Accounting Principles (GAAP)**.

GAAP = Principles + Concepts + Conventions

These act as the framework within which accounting operates.

4.2 Need for Accounting Principles

- To ensure **uniformity** in accounting records.
 - To make financial statements **comparable** across different periods and companies.
 - To provide **reliable and true** financial information.
 - To **avoid manipulation** of accounts.
 - To help management and investors in **decision-making**.
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4.3 Fundamental Accounting Assumptions (AS-1)

(A) Going Concern Assumption

- Business is assumed to continue in the foreseeable future.
 - Assets are recorded at **cost** (not liquidation value).
 - Distinction is made between **fixed assets & current assets, short-term & long-term liabilities**.
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(B) Consistency Assumption

- Accounting policies and practices, once adopted, should be followed **consistently** year after year.

- Ensures **comparability of financial results**.
 - Change in method is allowed only if:
 - Required by law, or
 - Results in a more accurate presentation.
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(C) Accrual Assumption

- Transactions are recorded **when they occur**, not when cash is received or paid.
 - Revenue is recognised when **earned**, expenses are recognised when **incurred**, even if cash has not been exchanged.
 - Basis of **modern accounting system**.
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4.4 Important Accounting Principles

1. Money Measurement Concept

- Only transactions measurable in **monetary terms** are recorded.
 - Ignores non-monetary factors like employee skills, brand value, etc.
-

2. Accounting Period Concept

- Life of business is divided into **equal time periods** (usually 1 year) for reporting.
 - Helps in periodic assessment of **profit and financial position**.
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3. Full Disclosure Principle

- All significant information should be disclosed in financial statements.
 - Examples: contingent liabilities, pending litigations, changes in accounting policy.
-

4. Materiality Principle

- Only **material (important) information** that influences decision-making is disclosed.
 - Insignificant details can be ignored.
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5. Prudence (Conservatism) Principle

- **Anticipate losses, but not gains.**
 - Record expected losses immediately, record gains only when realised.
 - Example: Creation of **Provision for Bad Debts**.
-

6. Historical Cost Concept

- Assets are recorded at their **original purchase price**.
 - Does not show current market value.
 - Example: Land bought at ₹1,00,000 is shown at cost even if market value rises to ₹5,00,000.
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7. Matching Principle

- **Expenses should be matched with related revenues** of the same period.
 - Example: Commission on sales of January is recorded in January even if paid in February.
-

8. Revenue Recognition Principle

- Revenue is recognised **when earned**, not when cash is received.
 - Example: Goods sold on credit in March are treated as March revenue.
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9. Verifiability & Objectivity Principle

- All accounting transactions should be supported by **evidence** (invoice, bill, receipt).
- Prevents personal bias.

10. Dual Aspect (Duality) Principle

- Every transaction has **two aspects** – Debit & Credit.
- Forms the basis of **Double Entry System**.
- Expressed as **Accounting Equation**:

$$\text{Assets} = \text{Liabilities} + \text{Capital}$$

4.5 Importance of GAAP

- Provides **standardisation** in accounting practices.
 - Builds **trust and confidence** among users.
 - Helps in **fair presentation** of financial results.
 - Facilitates **global comparability** (especially with IFRS & Ind-AS).
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Summary:

Accounting principles and assumptions form the **foundation of accounting**. The key assumptions are **Going Concern, Consistency, and Accrual**, while major principles include **Money Measurement, Accounting Period, Prudence, Historical Cost, Matching, Revenue Recognition, and Dual Aspect**. Together, these ensure financial statements are **reliable, comparable, and useful for decision-making**.

Chapter 5: Accounting Standards & IFRS / Ind-AS

5.1 Meaning of Accounting Standards

- **Accounting Standards (AS)** are written policy documents issued by regulatory bodies to ensure **uniformity, transparency, and comparability** in the preparation of financial statements.
- They provide **rules and guidelines** on how transactions should be recorded and reported.

In India, Accounting Standards are issued by **The Institute of Chartered Accountants of India (ICAI)** and notified by the **Ministry of Corporate Affairs (MCA)** under the **Companies Act, 2013**.

5.2 Objectives of Accounting Standards

1. To bring **uniformity** in accounting practices.
 2. To ensure **true and fair** presentation of financial statements.
 3. To make financial statements **comparable** across different companies and time periods.
 4. To prevent **manipulation** of accounts.
 5. To provide **guidance** to accountants in handling complex transactions.
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5.3 International Financial Reporting Standards (IFRS)

(A) Introduction

- IFRS are **global accounting standards** developed by the **International Accounting Standards Board (IASB)** (established in 2001, replacing IASC of 1973).
 - Aim: To **improve international financial reporting** and make company accounts **comparable globally**.
 - IFRS are **principle-based** accounting standards.
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(B) Key Features of IFRS

- Based on **principles** rather than rigid rules.
 - Emphasis on **fair value** measurement.
 - Improve **transparency and comparability** across countries.
 - Widely adopted in over **140 countries**.
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(C) Limitations of IFRS

- Implementation requires **changes in law** of individual countries.
 - Adoption can be **costly** for small firms.
 - Involves **professional judgment**, leading to subjectivity.
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5.4 Indian Accounting Standards (Ind-AS)

(A) Introduction

- India had two options:
 1. Fully adopt IFRS, or
 2. Converge Indian standards with IFRS.
 - India chose **convergence**, resulting in **Ind-AS (Indian Accounting Standards)**.
 - Ind-AS are **principle-based** standards aligned with IFRS but adapted to Indian business and legal environment.
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(B) Applicability of Ind-AS

Ind-AS are mandatory for:

1. Companies **listed on stock exchanges in India**.
 2. Companies with **net worth of ₹250 crore or more**.
 3. Their **holding, subsidiary, associate, and joint venture companies**.
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(C) Components of Financial Statements under Ind-AS

As per Schedule III of the Companies Act, 2013, a complete set of financial statements includes:

1. **Balance Sheet** (as at the end of the period).
 2. **Statement of Profit & Loss** (for the period).
 3. **Statement of Changes in Equity** (for the period).
 4. **Cash Flow Statement** (for the period).
 5. **Notes to Accounts** (including accounting policies and explanatory information).
 6. **Comparative Information** (for the previous period).
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(D) Valuation Principles under Ind-AS

- **Financial assets (securities)** must be valued at **Fair Value**.
- Other assets can be valued at either **Historical Cost** or **Fair Value** (consistently applied).
- **Fair Value** = Price received to sell an asset or paid to transfer a liability in an orderly transaction.

5.5 Difference between IFRS and Indian GAAP

Basis	IFRS	Indian GAAP
Nature	Principle-based	Rule-based
Balance Sheet Format	No fixed format	As per Schedule III of Companies Act, 2013
Valuation	Fair Value Concept	Historical Cost Concept
Applicability	Global	India-specific
Issuing Authority	IASB	ICAI & MCA

5.6 Benefits of Convergence with IFRS (via Ind-AS)

- Enhances **comparability** of Indian companies with global peers.
 - Attracts **foreign investment**.
 - Provides **transparency and reliability** in financial statements.
 - Helps Indian companies **raise capital abroad**.
 - Improves **corporate governance and investor confidence**.
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5.7 MCQs (Practice)

1. **In context of accounting, IFRS stands for –**
 - a) Indian Financial Reporting Standards
 - b) International Financial Reporting Standards ☐
 - c) Indian Financial Reporting System
 - d) International Financial Reporting System
2. **Under which Schedule of Companies Act, 2013, the formats of financial statements are prescribed?**
 - a) Schedule I
 - b) Schedule II
 - c) Schedule III ☐
 - d) Schedule IV

Summary :

Accounting Standards bring **uniformity and reliability** in financial reporting. While **IFRS** are global, India follows **Ind-AS**, which are converged with IFRS but adapted to Indian needs. Ind-AS are applicable to listed companies and large firms, ensuring fair presentation of financial statements.

Chapter 6: Books of Original Entry (Journal & Subsidiary Books)

6.1 Meaning of Books of Original Entry

- Books of Original Entry are the **first books** in which business transactions are recorded.
- They record transactions in the **chronological order** (date-wise).
- Also called **Primary Books** because they serve as the **basis for posting into Ledger Accounts**.

6.2 Journal

- The **Journal** is the principal book of original entry.
- Transactions are recorded in the form of **journal entries** using **debit and credit rules**.
- Known as the **Book of Original Entry**.

Format of Journal:

Date	Particulars	L.F.	Debit (₹)	Credit (₹)
15/05/2020	Debit Account Dr.		Amount	
	To Credit Account			Amount

Example:

Purchased goods for cash ₹10,000

Purchases A/c Dr.	10,000
To Cash A/c	10,000

6.3 Subsidiary Books

To avoid too much detail in the Journal, special-purpose books called **Subsidiary Books** are maintained.

Types of Subsidiary Books:

1. **Cash Book**
 - Records **all cash transactions** (receipts & payments).

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- Serves as both **Journal** and **Ledger (Cash A/c)**.
 - Types:
 - Single Column (Cash only)
 - Double Column (Cash + Bank)
 - Triple Column (Cash + Bank + Discount)
-

2. **Purchase Book**

- Records all **credit purchases of goods**.
 - Cash purchases are not entered here.
 - Format includes Date, Supplier's Name, Invoice No., Amount.
-

3. **Sales Book**

- Records all **credit sales of goods**.
 - Cash sales are not entered here.
-

4. **Purchase Return (Return Outward) Book**

- Records goods returned to suppliers (previously bought on credit).
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5. **Sales Return (Return Inward) Book**

- Records goods returned by customers (previously sold on credit).
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6. **Bills Receivable Book**

- Records bills of exchange or promissory notes received by the business.
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7. **Bills Payable Book**

- Records bills of exchange accepted or promissory notes issued by the business.
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6.4 Importance of Subsidiary Books

- Saves time by dividing work.
 - Facilitates specialisation (different clerks can handle different books).
 - Reduces chances of errors.
 - Provides detailed information regarding specific types of transactions.
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6.5 Difference between Journal and Subsidiary Books

	Journal	Subsidiary Books
Basis		
Nature	General book of all transactions	Specialised books for specific transactions
Detail	More detailed	Brief and classified
Time	Time-consuming	Time-saving
Use	Records all transactions	Records only specific transactions (like cash, purchases, sales)

Summary:

Books of Original Entry are used for the **first recording of transactions**. The Journal is the main book, but for convenience, **Subsidiary Books** such as Cash Book, Purchase Book, Sales Book, Returns Books, and Bills Books are maintained. This system helps save time, reduce errors, and improve efficiency in accounting.

Chapter 7: Ledger, Trial Balance and Rectification of Errors

7.1 Ledger

(A) Meaning

- The **Ledger** is the **book of final entry** where transactions from the Journal or Subsidiary Books are **classified and posted account-wise**.
- It is called the **King of Books** because financial statements are prepared from it.

(B) Features

1. Contains all accounts (assets, liabilities, capital, expenses, income).
2. Helps in knowing the **net result and financial position**.
3. Transactions are posted as **Debit (Dr.)** and **Credit (Cr.)**.

(C) Format of Ledger:

Date Particulars JF Debit (₹) Credit (₹)

7.2 Balancing of Ledger Accounts

- At the end of the accounting period, balances of accounts are determined.
- If **Debit > Credit** → Debit Balance.
- If **Credit > Debit** → Credit Balance.
- Balances are transferred to **Trial Balance**.

7.3 Trial Balance

(A) Meaning

- A **Trial Balance** is a statement of all ledger balances (debit & credit) prepared on a particular date.
- It is a tool to check the **arithmetic accuracy** of accounts.

(B) Objectives

1. To verify that **total debits = total credits**.

2. To locate **arithmetical errors**.
3. To serve as a **basis for preparation of final accounts**.

(C) Format of Trial Balance

| S. No. | Name of Account | Debit Balance (₹) | Credit Balance (₹) |

7.4 Errors in Accounting

Despite careful recording, errors may occur:

(A) Types of Errors

1. **Errors of Omission** – A transaction is not recorded at all.
 - Example: Purchase of goods on credit omitted.
 2. **Errors of Commission** – Wrong posting, wrong amounts, or wrong balancing.
 - Example: Crediting Mr. A's account instead of Mr. B's account.
 3. **Errors of Principle** – Violation of accounting principles.
 - Example: Treating purchase of machinery as an expense instead of an asset.
 4. **Compensating Errors** – Two or more errors cancel out each other.
 - Example: Purchases undercast by ₹1,000 and Sales undercast by ₹1,000.
-

7.5 Rectification of Errors

(A) Before Preparation of Trial Balance

- Errors can be corrected by **erasing and rewriting** (if discovered immediately) or by **passing rectification entries** in the journal.

(B) After Preparation of Trial Balance

- **Suspense Account** is opened to tally the trial balance.
- Errors are rectified through **adjusting journal entries**.

7.6 Difference between Journal, Ledger and Trial Balance

Basis	Journal	Ledger	Trial Balance
Nature	Book of original entry	Book of final entry	Statement
Function	Records transactions chronologically	Classifies transactions account-wise	Checks arithmetical accuracy
Output	Journal Entries	Ledger Balances	Debit & Credit Totals

Summary:

The **Ledger** is the book of final entry containing all accounts. At the end of the period, ledger balances are transferred to a **Trial Balance** to check arithmetic accuracy. Errors may still occur (omission, commission, principle, compensating), and they are rectified either by **journal entries** or using a **suspense account**.

Chapter 8: Financial Statements of Sole Proprietorship

8.1 Meaning of Financial Statements

- **Financial Statements** are the final reports prepared at the end of an accounting period.
 - They present the **financial performance (Profit or Loss)** and **financial position (Assets, Liabilities, Capital)** of the business.
 - For a sole proprietorship, the main statements are:
 1. **Trading Account**
 2. **Profit and Loss Account**
 3. **Balance Sheet**
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8.2 Objectives of Financial Statements

1. To ascertain **gross profit or gross loss**.
 2. To ascertain **net profit or net loss**.
 3. To determine the **financial position** of the business.
 4. To provide information for **decision-making**.
 5. To comply with legal and tax requirements.
-

8.3 Trading Account

(A) Purpose

- Prepared to find out **Gross Profit (GP)** or **Gross Loss (GL)**.
- $GP = Sales - (Opening\ Stock + Purchases + Direct\ Expenses - Closing\ Stock)$.

(B) Direct Expenses

- Wages, Carriage Inward, Freight, Octroi, Power & Fuel, Import Duty.

(C) Format of Trading Account

Debit (Dr.)	₹	Credit (Cr.)	₹
Opening Stock	xx	Sales	xx
Purchases	xx	Less: Sales Return (xx)	
Less: Purchase Return (xx)		Closing Stock	xx
Direct Expenses	xx		
Gross Profit c/d	xx		
Total	xx	Total	xx

8.4 Profit and Loss Account

(A) Purpose

- Prepared to find out **Net Profit (NP)** or **Net Loss (NL)**.
- $NP = \text{Gross Profit} + \text{Other Incomes} - \text{Indirect Expenses}$.

(B) Indirect Expenses

- Office Expenses: Rent, Salary, Telephone.
- Selling Expenses: Advertisement, Carriage Outward.
- Financial Expenses: Interest, Discount Allowed.
- Depreciation & Bad Debts.

(C) Format of Profit and Loss A/c

Debit (Dr.)	₹	Credit (Cr.)	₹
Indirect Expenses	xx	Gross Profit b/d	xx
Depreciation	xx	Other Incomes	xx
Interest	xx		
Net Profit (c/d)	xx		
Total	xx	Total	xx

8.5 Balance Sheet

(A) Purpose

- A statement showing the **financial position** of a business on a particular date.
- Based on the **accounting equation**:
Assets = Liabilities + Capital

(B) Format of Balance Sheet

Liabilities	₹	Assets	₹
Capital	xx	Fixed Assets	xx
Add: Net Profit	xx	Current Assets	xx
Less: Drawings	(xx)	Closing Stock	xx
Long-term Liabilities	xx	Debtors	xx
Current Liabilities	xx	Cash/Bank	xx
Total	xx	Total	xx

8.6 Adjustment Entries

Adjustments are made to ensure correct profit and financial position:

1. **Outstanding Expenses** – Added to expenses & shown as liability.
2. **Prepaid Expenses** – Deducted from expenses & shown as asset.
3. **Accrued Income** – Added to income & shown as asset.
4. **Income Received in Advance** – Deducted from income & shown as liability.
5. **Depreciation** – Charged on assets.
6. **Bad Debts** – Deducted from Debtors.
7. **Provision for Doubtful Debts** – Created for expected bad debts.
8. **Closing Stock** – Shown on credit side of Trading A/c & as an asset in Balance Sheet.

8.7 Difference between Trading A/c, P&L A/c and Balance Sheet

Basis	Trading A/c	Profit & Loss A/c	Balance Sheet
Purpose	Finds out Gross Profit/Loss	Finds out Net Profit/Loss	Shows financial position
Nature	Nominal Account	Nominal Account	Statement (Not an account)
Items Shown	Opening stock, Purchases, Sales, Direct Expenses	Indirect Expenses & Indirect Incomes	Assets & Liabilities

Summary:

Financial statements of a sole proprietorship consist of **Trading A/c, Profit & Loss A/c, and Balance Sheet**. Adjustments like outstanding expenses, prepaid expenses, accrued incomes, depreciation, and closing stock are essential to present a **true and fair view** of the business.

Chapter 9: Depreciation, Provisions & Reserves

9.1 Depreciation

(A) Meaning

- Depreciation is the **reduction in the value of a fixed asset** due to wear and tear, passage of time, obsolescence, or usage.
- It is a **non-cash expense**, charged to the **Profit & Loss A/c**.

Example: A machine bought for ₹1,00,000 has a life of 10 years. Each year its value decreases and depreciation is recorded.

(B) Causes of Depreciation

1. **Wear and Tear** – Continuous use of assets (e.g., machinery).
 2. **Passage of Time** – Assets lose value with time (e.g., patents, lease).
 3. **Obsolescence** – Assets become out dated due to new technology.
 4. **Accidents** – Sudden loss due to fire, earthquake, etc.
-

(C) Methods of Charging Depreciation

1. **Straight Line Method (SLM)**
 - Equal depreciation charged every year.
 - Formula:

Depreciation per year = $\frac{\text{Cost} - \text{Residual Value}}{\text{Life of Asset}}$

- Simple and easy.
2. **Written Down Value Method (WDV)**
 - Fixed % charged each year on **book value (opening value)**.
 - Results in **higher depreciation in initial years**, lower in later years.
 3. **Other Methods** (used in special cases)
 - Units of Production Method
 - Machine Hour Method
 - Depletion Method (for mines, oil wells)

- Annuity Method
-

9.2 Provisions

(A) Meaning

- A **provision** is an amount set aside out of profits to meet a **known liability or expected loss**, the amount of which cannot be determined with accuracy.
- It is **necessary** to comply with the **prudence principle**.

(B) Examples

- Provision for Bad and Doubtful Debts
- Provision for Depreciation
- Provision for Taxation

(C) Features of Provisions

1. Created to cover **expected losses or liabilities**.
 2. It is a **charge against profit** (must be created even if there is no profit).
 3. Shown as a **liability** in Balance Sheet.
-

9.3 Reserves

(A) Meaning

- A **reserve** is an appropriation of profit, retained in the business for strengthening the financial position or meeting future needs.
- Unlike provisions, reserves are created **only when there are profits**.

(B) Types of Reserves

1. **General Reserve** – Created without a specific purpose, used for strengthening financial position.
2. **Specific Reserve** – Created for a specific purpose (e.g., Debenture Redemption Reserve).
3. **Capital Reserve** – Created from capital profits (e.g., premium on issue of shares).

4. **Revenue Reserve** – Created out of revenue profits (e.g., General Reserve).
 5. **Secret Reserve** – Created by undervaluing assets or overstating liabilities (not disclosed in accounts).
-

9.4 Difference between Provisions and Reserves

Basis	Provisions	Reserves
Nature	Charge against profit	Appropriation of profit
Compulsory	Must be created	Created only if profits exist
Purpose	To meet known liability/expected loss	To strengthen financial position or meet contingencies
Shown in A/cs	Shown as liability	Shown under Capital & Reserves

9.5 Importance of Depreciation, Provisions & Reserves

- Ensures **true and fair** view of financial statements.
 - Helps in proper **allocation of expenses**.
 - Builds up funds for meeting **future liabilities**.
 - Provides **financial stability** to the business.
-

Summary:

- **Depreciation:** Decrease in value of fixed assets, charged systematically using methods like SLM & WDV.
- **Provisions:** Created to cover expected losses/liabilities, compulsory in nature.
- **Reserves:** Created out of profits to strengthen financial position or meet contingencies.
Together, they ensure **accurate profit calculation and financial stability**.

Chapter 10: Accounting for Non-Profit Organisations (NPOs)

10.1 Meaning of Non-Profit Organisations

- Non-Profit Organisations (NPOs) are entities that exist **not for earning profits**, but to promote **social, cultural, educational, religious or charitable objectives**.
- Examples: Schools, Colleges, Clubs, Hospitals, Libraries, Charitable Trusts.

Their main aim is **service**, not profit.

10.2 Characteristics of NPOs

1. Aim is **service to society**, not profit.
 2. Funds come from **subscriptions, donations, grants, and legacies**.
 3. Surplus (excess of income over expenditure) is **not distributed**, but used for the objectives of the organisation.
 4. Maintains **Receipts & Payments A/c, Income & Expenditure A/c, and Balance Sheet** instead of Trading and P&L A/c.
-

10.3 Financial Statements of NPOs

(A) Receipts and Payments Account

- A **summary of cash book** (cash and bank transactions).
 - Records all receipts and payments during the year, whether capital or revenue, cash or bank.
 - **Opening Balance = Cash/Bank in hand; Closing Balance = Cash/Bank at year end.**
 - Does not show surplus/deficit.
-

(B) Income and Expenditure Account

- Equivalent of **Profit & Loss A/c** for NPOs.
- Prepared on **accrual basis**.

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- Includes only **revenue items** (no capital items).
- Shows **Surplus (excess of income over expenditure)** or **Deficit**.

Format:

Debit (Expenditure) ₹	Credit (Income) ₹	₹
Salaries	xx Subscriptions	xx
Rent	xx Donations (Revenue)	xx
Printing	xx Entrance Fees (Revenue)	xx
Depreciation	xx Interest	xx
Deficit (if any)	xx Surplus (if any)	xx

(C) Balance Sheet of NPO

- Prepared at the end of accounting year.
- **Capital Fund/General Fund** = Assets – Liabilities.
- Surplus from Income & Expenditure A/c is added to Capital Fund.

Liabilities side: Capital Fund, Donations for specific purposes, Creditors.

Assets side: Fixed Assets, Investments, Cash/Bank, Outstanding Subscriptions, and Prepaid Expenses.

10.4 Treatment of Special Items

1. Subscription

- Main source of income for NPOs.
- Adjustments:
 - Add: Outstanding Subscriptions (current year).
 - Add: Advance Subscriptions (last year).
 - Less: Advance Subscriptions (current year).

2. Donations

- **General Donation** → treated as income (Income & Expenditure A/c).
- **Specific Donation** → added to specific fund (Balance Sheet).

3. Entrance Fees

- If treated as **Revenue Receipt** → Income & Expenditure A/c.
- If treated as **Capital Receipt** → Capital Fund (Balance Sheet).

4. Legacy (Donation by Will)

- Treated as **Capital Receipt** (added to Capital Fund).

5. Life Membership Fees

- Treated as **Capital Receipt** (added to Capital Fund).

6. Honorarium

- Payment to people for special services (treated as expense).
-

10.5 Difference between Profit Organisations and NPOs

Basis	Profit Organisations	Non-Profit Organisations
Objective	Earn profit	Provide service
Main A/cs	Trading, P&L A/c, Balance Sheet	Receipts & Payments A/c, Income & Expenditure A/c, Balance Sheet
Result	Net Profit/Net Loss	Surplus/Deficit
Capital	Share Capital, Owner's Capital	Capital/General Fund

10.6 Importance of Accounting in NPOs

- Helps in proper **utilisation of funds**.
 - Provides **transparency and accountability** to donors and members.
 - Helps in planning future activities.
 - Ensures compliance with **legal requirements**.
-

Summary:

Non-Profit Organisations (NPOs) aim at service, not profit. They prepare **Receipts & Payments A/c (cash summary), Income & Expenditure A/c (revenue summary on accrual basis), and Balance Sheet (financial position)**. Special items like Subscriptions, Donations, Entrance Fees, and Legacies require proper treatment. The surplus/deficit is adjusted to the **Capital Fund**.

Chapter 11: Accounts of Consignment

11.1 Meaning of Consignment

- Consignment means **sending goods by the owner (Consignor) to his agent (Consignee)** to be sold on his behalf.
- The **ownership** of goods remains with the **Consignor** until they are sold.
- The **Consignee** sells goods, collects payments, deducts expenses and commission, and remits the balance to the Consignor.

Example: A manufacturer in Delhi sends goods to an agent in Mumbai for sale on commission basis.

11.2 Key Terms

1. **Consignor** – Owner of goods who sends them (principal).
 2. **Consignee** – Agent who sells goods on behalf of consignor.
 3. **Proforma Invoice** – A statement sent by consignor to consignee with details of goods, quantity, price, and expenses.
 4. **Account Sales** – A statement prepared by consignee for consignor, showing sales, expenses, commission, and net proceeds.
 5. **Del-Credere Commission** – Extra commission given to consignee for taking risk of **bad debts**.
 6. **Normal Loss** – Unavoidable loss due to natural reasons (evaporation, leakage).
 7. **Abnormal Loss** – Avoidable or accidental loss (theft, fire, accident).
-

11.3 Features of Consignment

1. Relationship between consignor and consignee is **Principal–Agent**.
 2. Ownership remains with **consignor** till goods are sold.
 3. Consignee is entitled to **commission** on sales.
 4. Unsold stock belongs to consignor (shown as **Closing Stock on Consignment**).
 5. Risk and reward of goods lies with **consignor**.
-

11.4 Accounting Treatment

(A) In the Books of Consignor

1. On sending goods on consignment:

Consignment A/c Dr.
To Goods Sent on Consignment A/c

2. Expenses incurred by consignor:

Consignment A/c Dr.
To Cash/Bank A/c

3. Expenses incurred by consignee (later informed):

Consignment A/c Dr.
To Consignee A/c

4. Commission due to consignee:

Consignment A/c Dr.
To Consignee A/c

5. When consignee remits balance (net proceeds):

Bank A/c Dr.
To Consignee A/c

6. Closing Stock on Consignment (unsold goods):

Consignment Stock A/c Dr.
To Consignment A/c

7. Transfer of Profit on Consignment:

If credit balance remains in Consignment A/c:

Consignment A/c Dr.
To Profit & Loss A/c

(B) In the Books of Consignee

- No entry for goods received (since ownership not transferred).
- For expenses:

Consignor A/c Dr.
To Cash/Bank A/c

- For sales proceeds:

Cash/Bank A/c Dr.
To Consignor A/c

- For commission earned:

Consignor A/c Dr.
To Commission A/c

11.5 Valuation of Unsold Stock

- Unsold stock with consignee is valued at **cost + proportionate non-recurring expenses** (like freight, insurance).
 - Normal loss is ignored while valuing stock.
 - Abnormal loss is treated separately and adjusted in Consignment A/c.
-

11.6 Difference between Consignment and Sale

Basis	Consignment	Sale
Ownership	Remains with consignor until goods sold	Transfers immediately to buyer
Relationship	Principal–Agent	Seller–Buyer
Risk of Goods	With consignor	With buyer
Return of Goods	Unsold goods can be returned	Goods once sold cannot be returned
Consideration	Commission to consignee	Profit to seller

Summary:

Consignment is an arrangement where goods are sent by **Consignor (owner)** to **Consignee (agent)** for sale. Ownership remains with consignor. The consignee

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sells goods, deducts expenses and commission, and sends the balance to consignor. Unsold stock is valued at **cost + proportionate non-recurring expenses**. Profits/losses are transferred to Profit & Loss A/c.

Chapter 12: Accounts of Partnership Firms – Fundamentals

12.1 Meaning of Partnership

- A **Partnership** is an agreement between two or more persons to carry on a business and share its profits and losses.
- Governed by the **Indian Partnership Act, 1932**.
- Partners contribute **capital, skill, and effort**, and share results as per agreement.

Partnership Agreement = **Partnership Deed**

12.2 Features of Partnership

1. **Association of two or more persons** (maximum: 50 as per Companies Act, 2013).
 2. Agreement to **carry on business**.
 3. Objective is **profit sharing**.
 4. **Mutual agency** – Every partner is both an agent and principal.
 5. Governed by **Partnership Deed** or, if absent, by provisions of law.
-

12.3 Partnership Deed

(A) Meaning

- A **written agreement** among partners, containing terms and conditions of partnership.

(B) Contents of Deed

1. Name and address of firm and partners.
2. Nature of business.
3. Capital contribution by each partner.
4. Profit and loss sharing ratio.
5. Salary/commission to partners (if any).
6. Rules regarding admission, retirement, or death of a partner.
7. Rights, duties, and obligations of partners.

12.4 Provisions Applicable in Absence of Partnership Deed

If there is no written agreement, the **Indian Partnership Act, 1932** applies:

1. Profits and losses shared **equally**.
2. No interest on capital.
3. No salary to partners.
4. Interest @ **6% p.a.** allowed only on partner's loan to firm.
5. Partners act as agents of the firm.

12.5 Capital Accounts of Partners

(A) Fixed Capital Method

- Capital remains fixed.
- Two separate accounts are maintained:
 1. **Capital Account** – shows initial capital and permanent changes.
 2. **Current Account** – shows drawings, interest, salary, and share of profit.

(B) Fluctuating Capital Method

- Only one account (Capital A/c) is maintained.
- All adjustments (drawings, interest, salary, share of profit/loss) are made in the same account.

12.6 Adjustments in Partnership Accounts

1. **Interest on Capital** – Allowed if mentioned in deed.
2. Interest on Capital A/c Dr.
3. To Partner's Capital/Current A/c
4. **Partner's Salary/Commission** – Allowed if provided in deed.
5. Profit & Loss Appropriation A/c Dr.
6. To Partner's Capital/Current A/c
7. **Interest on Drawings** – Charged if mentioned in deed.
8. Partner's Capital/Current A/c Dr.
9. To Interest on Drawings A/c

10. Interest on Partner's Loan – Always allowed @ 6% p.a. (even if deed is silent).

12.7 Profit & Loss Appropriation Account

Prepared after Profit & Loss A/c to show distribution of profit among partners.

Format:

Debit (Dr.)	₹	Credit (Cr.)	₹
Interest on Capital	xx	Net Profit b/d	xx
Partner's Salary/Commission	xx	Interest on Drawings	xx
Profit transferred to Partners' Capital A/cs	xx		

12.8 Past Adjustments

If an error/omission in partner's salary, interest, or share of profit is discovered later, it is rectified through **adjustment entry**:

Partner's Capital A/c (Gainer) Dr.
 To Partner's Capital A/c (Loser)

12.9 Guarantee of Profit

- Sometimes a partner is guaranteed a **minimum amount of profit** by other partners.
 - If actual share is less than guaranteed, the deficiency is borne by the guaranteeing partners.
-

12.10 Difference between Fixed & Fluctuating Capital

Basis	Fixed Capital	Fluctuating Capital
No. of Accounts	2 (Capital & Current)	1 (Capital only)
Changes in Capital	Rare	Frequent
Balance Type	Usually credit only	Can be debit or credit

Summary:

A partnership is a business carried on by two or more persons to share profits. The **Partnership Deed** governs rights and duties; otherwise, provisions of law apply. Partners' accounts may follow **Fixed Capital** or **Fluctuating Capital** method. Adjustments include **interest on capital/drawings, salary, commission, and profit sharing**. Distribution of profit is shown in the **Profit & Loss Appropriation A/c**.

Chapter 13 : Issue of Debentures

1. Meaning of Debentures

- A **debenture** is a written instrument acknowledging a debt taken by a company under its common seal.
- It is an **important source of long-term finance** for companies.
- Debenture holders are **creditors** of the company (not owners).

Example: If a company needs ₹10 crore, it may issue 1,00,000 debentures of ₹1,000 each.

2. Features of Debentures

1. It is a **certificate of loan**.
 2. Debenture holders are entitled to **fixed interest**, whether company makes profit or not.
 3. Interest on debentures is treated as an **expense**, debited to P&L A/c.
 4. Debentures may be secured (against company's assets) or unsecured.
 5. Debentures can be **redeemed** after a certain period.
-

3. Types of Debentures

1. **On the basis of Security**
 - Secured (Mortgage) Debentures
 - Unsecured (Naked) Debentures
 2. **On the basis of Redemption**
 - Redeemable Debentures (repaid after fixed time)
 - Irredeemable Debentures (perpetual, rarely used now)
 3. **On the basis of Convertibility**
 - Convertible Debentures (converted into shares later)
 - Non-Convertible Debentures
-

4. Issue of Debentures

(A) At Par

Debentures are issued at their face value (e.g., ₹100 debenture issued at ₹100).

Entry:

Bank A/c	Dr.
To Debentures A/c	

(B) At Premium

Debentures are issued above their face value (e.g., ₹100 debenture issued at ₹110).

Entry:

Bank A/c	Dr.
To Debentures A/c	
To Securities Premium A/c	

(C) At Discount

Debentures are issued below their face value (e.g., ₹100 debenture issued at ₹95).

Entry:

Bank A/c	Dr.
Discount on Issue of Debentures A/c	Dr.
To Debentures A/c	

5. Issue of Debentures for Consideration other than Cash

1. For Purchase of Assets

If a company buys machinery worth ₹5,00,000 from a vendor and issues debentures:

Machinery A/c	Dr.
To Vendor A/c	

Vendor A/c Dr.
 To Debentures A/c

2. For Payment to Promoters

If debentures worth ₹1,00,000 are issued to promoters as remuneration:

Goodwill A/c Dr.
 To Debentures A/c

6. Issue of Debentures as Collateral Security

- Sometimes debentures are issued as **security for a loan**.
- Two methods of accounting:

(A) **No Entry Method** – Just disclosure in Balance Sheet (contingent).

(B) **Entry Method** –

Debenture Suspense A/c Dr.
 To Debentures A/c

7. Interest on Debentures

- Debenture holders receive **fixed interest**, even if the company has no profit.
- Entry for interest due:

Interest on Debentures A/c Dr.
 To Debenture Holders A/c

- Entry for payment:

Debenture Holders A/c Dr.
 To Bank A/c

- Interest is a **charge against profit** (shown in P&L A/c).
-

8. Difference between Shares and Debentures

Basis	Shares	Debentures
Ownership	Represent ownership of	Represent loan to company

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Basis	Shares	Debentures
	company	
Return	Dividend (only if profit)	Fixed interest (whether profit or not)
Position	Shareholders are owners	Debenture holders are creditors
Voting Rights	Yes	No
Security	Not secured	Often secured against assets

9. Importance of Debenture Financing

- Provides long-term funds without diluting ownership.
 - Interest is a tax-deductible expense → reduces tax burden.
 - Suitable for companies with stable earnings.
 - Burden of repayment at maturity may create financial pressure.
-

Summary:

Debentures are an important tool of raising long-term debt by companies. They may be issued at **par, premium, or discount**, or issued for consideration other than cash. Interest is payable at a fixed rate and treated as an expense. Debentures differ from shares since holders are creditors, not owners.

Chapter 14 – Redemption of Debentures

13.1 What is Redemption of Debentures?

When a company repays the principal amount to its debenture holders, it is called **Redemption of Debentures**.

- It is done at the time of **maturity period**.
 - Payment can be made **at par (face value)** or **at premium**.
-

13.2 Methods of Redemption

(i) Lump-sum Method

- All debentures are repaid together (on the same date).
- Example: After 5 years, the company repays all debenture holders in one go.

(ii) Instalment Method

- Some debentures are redeemed every year in instalments.
- Gradually, all debentures are retired.

(iii) Purchase in Open Market

- The company buys back its own debentures from the open market and cancels them.
- Advantage: If debentures are available at a lower (discounted) price in the market, the company gains.

(iv) Conversion Method

- Instead of paying in cash, the company offers shares or new debentures to debenture holders.
 - In this case, no cash outflow takes place.
-

13.3 Redemption at Par and Premium

- **Redemption at Par** → Payment equals the face value.

- **Redemption at Premium** → Payment equals face value + **additional premium**.
 - The premium is paid out of **Securities Premium Reserve** or **Profit & Loss Account**.
-

13.4 Debenture Redemption Reserve (DRR)

- According to the Indian Companies Act, companies must create a **special reserve** for redemption of debentures.
 - This reserve is called **Debenture Redemption Reserve (DRR)**.
 - **Objective** → To protect the interests of debenture holders.
 - **Rules:**
 - Every year, the company must transfer a certain portion of its profits to the DRR.
 - After redemption, the DRR balance can be transferred back to free reserves.
-

13.5 Accounting Entries (Main Entries)

(i) Redemption Due:

Debentures A/c Dr
 To Debenture Holders A/c

(ii) Payment to Debenture Holders:

Debenture Holders A/c Dr
 To Bank A/c

(iii) Redemption at Premium:

Debentures A/c Dr
Premium on Redemption of Debentures A/c Dr
 To Debenture Holders A/c

13.6 Conversion of Debentures into Shares

If debentures are converted into shares:

Debentures A/c Dr

To Share Capital A/c

To Securities Premium A/c (if issued at premium)

13.7 Redemption through Sinking Fund (or Insurance Policy)

- The company sets aside a fixed amount every year in a **Sinking Fund / Insurance Policy**.
 - At maturity, these investments are sold, and the proceeds are used to repay debentures.
 - This avoids a sudden large financial burden on the company.
-

Summary

- **Redemption** = Repayment of debentures (at par or premium).
 - **Methods** = Lump-sum, Installments, Open Market Purchase, Conversion.
 - **DRR** = Reserve created for the protection of debenture holders.
 - **Conversion** = Issue of shares/new debentures instead of cash payment.
-

Chapter 15 – Financial Statements of a Company

14.1 Introduction

- A company has to prepare its accounts according to the **Companies Act, 2013** and **Schedule III**.
- The main financial statements are:
 1. **Statement of Profit & Loss**
 2. **Balance Sheet**

The objective is to show the **profitability** and **financial position** of the company.

14.2 Statement of Profit and Loss

This statement shows the **incomes and expenses** of a company.

Structure:

1. **Revenue from Operations**
 - Sale of goods and services
 - Other operating income
 2. **Other Income**
 - Interest, rent, dividend, etc.
 3. **Total Revenue = (1 + 2)**
 4. **Expenses**
 - Cost of materials consumed
 - Purchase of stock-in-trade
 - Changes in inventories
 - Employee benefit expenses (wages, PF, etc.)
 - Finance costs (interest)
 - Depreciation & amortisation
 - Other expenses (rent, electricity, advertisement, etc.)
 5. **Profit before Tax (PBT) = Total Revenue – Total Expenses**
 6. **Tax Expense**
 7. **Profit after Tax (PAT)**
-

14.3 Balance Sheet

The balance sheet shows the **financial position** of a company on a particular date (usually at year-end).

Structure (as per Schedule III):

I. EQUITY & LIABILITIES

1. Shareholders' Funds

- Share Capital
- Reserves & Surplus

2. Non-Current Liabilities

- Long-term borrowings
- Deferred tax liabilities

3. Current Liabilities

- Short-term borrowings
- Trade payables (creditors)
- Other current liabilities
- Short-term provisions

II. ASSETS

1. Non-Current Assets

- Fixed assets (tangible & intangible)
- Non-current investments
- Long-term loans & advances

2. Current Assets

- Inventories (stock)
- Trade receivables (debtors)
- Cash & cash equivalents
- Short-term loans & advances

14.4 Notes to Accounts

- Along with the balance sheet and profit & loss statement, a company must also provide **additional information**.
- Examples:
 - Method of depreciation
 - Details of share capital (authorised, issued, paid-up)
 - Details of reserves
 - Contingent liabilities (possible liabilities)

14.5 Features of Financial Statements

1. **Legally mandatory** to prepare.
2. Prepared in a **standard format** (Schedule III).
3. Ensure **transparency** and **comparability**.
4. Help stakeholders in decision-making.

Summary

- **P&L A/c** → Statement of income & expenses (Profitability).
 - **Balance Sheet** → Statement of assets & liabilities (Financial Position).
 - **Notes to Accounts** → Additional explanations.
-

Chapter 16 – Analysis of Financial Statements

15.1 Introduction

- Analysis of financial statements is a systematic process through which a company's **profitability, liquidity & solvency, and operational efficiency** are evaluated.
 - This analysis helps investors, creditors, management, and other stakeholders understand the financial position of the company in depth.
-

15.2 Objectives

1. To evaluate the company's ability to earn profit.
 2. To assess the capacity to repay short-term and long-term debts.
 3. To study the efficiency of resource utilization.
 4. To compare with other companies and industry standards.
 5. To provide a basis for future plans and policies.
-

15.3 Techniques of Analysis

(i) Comparative Statements

- Financial statements of two or more years are compared.
- The percentage increase or decrease shows the financial trends of the company.

(ii) Common-Size Statements

- Each item is expressed as a percentage of a base amount (like sales or total assets).
- Useful for comparison between companies of different sizes.

(iii) Trend Analysis

- One base year is selected and the trend of subsequent years is studied.
- Shows whether the company's growth is positive or negative.

(iv) Ratio Analysis

- Ratios are calculated by comparing two related financial figures.
- Ratios are classified into four major categories:
 1. **Liquidity Ratios** – Short-term payment capacity (e.g., Current Ratio, Quick Ratio).
 2. **Solvency Ratios** – Ability to meet long-term obligations (e.g., Debt-Equity Ratio).
 3. **Profitability Ratios** – To measure profitability (e.g., Gross Profit Ratio, ROI).
 4. **Activity Ratios** – Operational efficiency (e.g., Inventory Turnover Ratio).

(v) Cash Flow Analysis

- Shows sources and uses of cash.
- Explains how cash is affected by operations, investments, and financing activities.

15.4 Limitations of Financial Statement Analysis

1. Based on **historical data**, so it cannot predict the future accurately.
2. Comparisons may not always be reliable due to differences in accounting policies.
3. Ratios and techniques are only indicators, not final conclusions.
4. Data can sometimes be manipulated by management (Window Dressing).

15.5 Summary

- Analysis of financial statements is a systematic evaluation of a company's financial position.
- Main techniques: **Comparative Statements, Common-Size Statements, Trend Analysis, Ratio Analysis, Cash Flow Analysis.**
- Helps stakeholders gain deep insights into performance and stability, but limitations must be kept in mind while interpreting.

Chapter 17 – Accounting Ratios

16.1 Introduction

- Accounting Ratios are used for comparative analysis of financial data.
- A ratio is a quantitative relationship between two related items.
- Ratios measure **liquidity, solvency, profitability, and efficiency** of a company.

16.2 Objectives of Ratio Analysis

1. To evaluate financial position and performance.
2. To assist management in decision-making.
3. To assure investors and creditors.
4. To compare across years and companies.
5. To provide a basis for future plans and policies.

16.3 Types of Ratios

(A) Liquidity Ratios (Short-term payment capacity)

1. **Current Ratio** = Current Assets ÷ Current Liabilities → Standard = 2:1
2. **Quick Ratio (Acid-Test Ratio)** = (Current Assets – Inventory – Prepaid Expenses) ÷ Current Liabilities → Standard = 1:1

(B) Solvency Ratios (Long-term financial stability)

1. **Debt-Equity Ratio** = Debt ÷ Equity → Standard = 2:1
2. **Proprietary Ratio** = Shareholders' Funds ÷ Total Assets
3. **Interest Coverage Ratio** = EBIT ÷ Interest → Shows how easily the company can pay interest.

(C) Profitability Ratios (Earning capacity)

1. **Gross Profit Ratio** = Gross Profit ÷ Net Sales × 100
2. **Net Profit Ratio** = Net Profit ÷ Net Sales × 100
3. **Operating Ratio** = Operating Cost ÷ Net Sales × 100
4. **Return on Investment (ROI)** = Net Profit ÷ Capital Employed × 100
5. **Earnings per Share (EPS)** = Net Profit after Tax ÷ Number of Equity Shares

(D) Activity Ratios (Efficiency in resource utilization)

1. **Inventory Turnover Ratio** = $\text{Cost of Goods Sold} \div \text{Average Inventory}$
→ Shows how many times stock is sold and replaced.
 2. **Debtors (Receivables) Turnover Ratio** = $\text{Net Credit Sales} \div \text{Average Debtors}$ → Indicates speed of collection from debtors.
 3. **Creditors Turnover Ratio** = $\text{Net Credit Purchases} \div \text{Average Creditors}$
 4. **Working Capital Turnover Ratio** = $\text{Net Sales} \div \text{Working Capital}$
-

16.4 Limitations of Ratio Analysis

1. Ratios are only indicators, not complete solutions.
 2. Based on **historical data**.
 3. Comparisons may be misleading due to different accounting policies.
 4. Window Dressing may distort results.
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16.5 Summary

- Ratios are classified into 4 categories: **Liquidity, Solvency, Profitability, Activity**.
 - Useful for management, investors, and creditors.
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Chapter 18 – Cash Flow Statement

17.1 Introduction

- A Cash Flow Statement is a financial statement that shows **inflow and outflow of cash & cash equivalents** during a specific period.
 - Prepared as per **Accounting Standard – 3 (AS-3)**.
 - It shows the liquidity and cash management position of a company.
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17.2 Components of Cash Flow

(i) Operating Activities (Cash from main business operations)

- **Cash Inflows:**
 - Cash from sales of goods
 - Cash from services
 - Dividend/interest received (in some cases)
- **Cash Outflows:**
 - Payments to suppliers
 - Wages & salaries
 - Payment of taxes
- **Operating Cash Flow = Operating Receipts – Operating Payments**

(ii) Investing Activities (Cash from purchase/sale of long-term assets & investments)

- **Cash Inflows:**
 - Sale of fixed assets
 - Sale of investments
 - Interest/dividend received (in some cases)
- **Cash Outflows:**
 - Purchase of fixed assets
 - Purchase of investments

(iii) Financing Activities (Cash from raising or repaying capital & loans)

- **Cash Inflows:**
 - Issue of shares
 - Issue of debentures/loans
- **Cash Outflows:**
 - Payment of dividends

- Repayment of debentures/loans
 - Buyback of shares
-

17.3 Cash & Cash Equivalents

- Cash in hand
 - Cash at bank
 - Short-term investments (up to 3 months)
 - Marketable securities
-

17.4 Methods of Preparing Cash Flow Statement

(A) Direct Method – Cash receipts and payments are listed directly to find net cash flow.

(B) Indirect Method – Starts from Net Profit, adjusts for Non-Cash Items (like depreciation) and Working Capital Changes to calculate operating cash flow.

17.5 Importance

1. Shows company's cash position and liquidity.
 2. Helps in short-term and long-term planning.
 3. Provides actual cash position to investors and creditors.
 4. Helps understand difference between profit and cash flow.
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17.6 Limitations

1. Shows only **cash transactions**, ignores non-cash items (like depreciation, credit sales).
 2. Indicates liquidity, not profitability.
 3. Based on past data, so cannot predict future accurately.
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17.7 Summary

- **Cash Flow Statement = Cash Inflows – Cash Outflows.**
- Three parts: **Operating, Investing, Financing.**

General Accounting Principles by Tatva trend

- Methods: **Direct and Indirect.**
 - Importance = shows true picture of liquidity and cash management.
 - Limitations = Non-cash items not included.
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